

Tanker Shipping

Bi-Weekly Industry Report

August 11, 2026

- East of Suez Risk Jumps** – The **geopolitical risk premium** identified in late July remains embedded in East of Suez tanker freight, but the disruption has evolved from a Hormuz centered issue into a broader Middle East routing risk spanning both the Gulf and Red Sea. Iran and Oman are nearing an agreement on new shipping arrangements through Hormuz, although Tehran has separated progress on the framework from a full reopening of the Strait. **Diplomatic progress has therefore yet to translate into sustained normalization** of commercial traffic, keeping security exposure embedded in voyage economics. At the same time, Saudi Arabia's increased reliance on its East West pipeline and Yanbu has provided an alternative outlet for crude constrained in the Gulf. Renewed Houthi threats against **Saudi linked shipping**, however, have **added risk** to the Red Sea route. Redirecting barrels west therefore shifts rather than removes the security exposure, while changing the direction and duration of tanker employment. For tanker demand, the composition of the crude adjustment is becoming as important as the recovery in volumes. **China's increased reliance** on shorter haul **Russian barrels** provides less tonne mile support than replacement crude sourced from the Atlantic Basin, while Saudi flows through Yanbu redistribute vessel demand across different trading corridors. These shifts are increasingly reflected in the divergence between East and West of Suez. **Atlantic VLCC freight has softened**, while East of Suez earnings continue to carry a stronger geopolitical component. Even as the East of Suez ballast to laden ratio rises, greater ballast availability can coexist with firm freight when disruption affects the circulation and employment of laden vessels.

- Oil Prices Remain Sensitive to Hormuz Developments** – Crude oil prices have once again fluctuated in response to developments surrounding the Strait of Hormuz, defying ongoing **structural supply deficits** and persistent market uncertainty. Thus far, decelerating demand across Asia, particularly from China, has partially stabilized the market, supplemented by aggressive strategic petroleum reserve drawdowns and the recent transit of approximately 100 million barrels out of the Arabian Gulf. However, these critical **contingency buffers** have largely been **exhausted**. While substantial inventories prior to the March 2026 Iran-US conflict provided a robust cushion that successfully capped price spikes, the market faces tightening balances in the coming months. Consequently, we **anticipate heightened volatility** as oil prices gradually establish a higher baseline.

- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to an industry downcycle.

Short-term Indicators

Momentum: **Neutral**
 Sentiment: **Neutral**
 Fundamentals: **Positive**

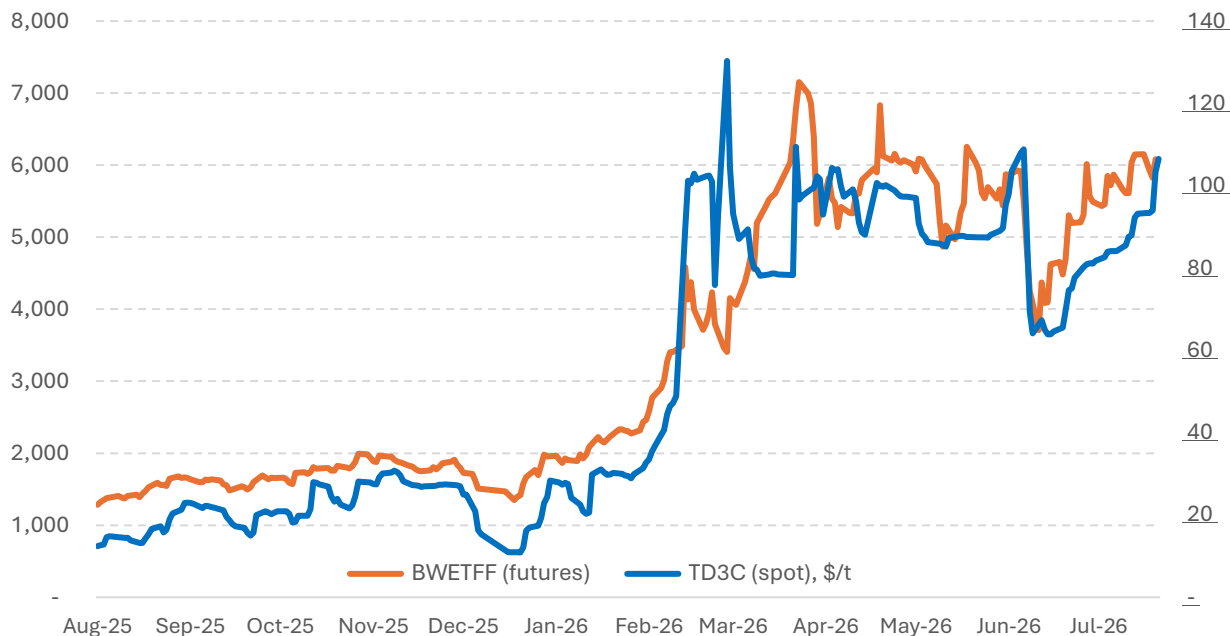
Breakwave Tanker Futures Index: **6414**
 30D: 23.2% **↑**
 YTD: 336.6% **↑**
 YOY: 396.1% **↑**

VLCC Middle East-Asia Spot Rates: **99.03**
 30D: 37.2% **↑**
 YTD: 595.6% **↑**
 YOY: 706.5% **↑**

Reuters: **BWET.K**
 Bloomberg: **BWET US**
 Exchange: **NYSE**

Breakwave Advisors Research
research@breakwaveadvisors.com

VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	106,499 kbpd	1.0%
Oil Supply, OPEC	19,440 kbpd	-30.9%
Oil Supply, non-OPEC	79,471 kbpd	8.4%
OECD Total Crude Oil Stocks	1023.6 MMbbls	-3.7%
US Crude Oil Exports	71.5 MMbbls	3.7%
China Oil Imports	862.4 MMbbls	-2.1%
Global Crude Oil On Water	1214.6 MMbbls	6.7%

Supply

Tanker Fleet	726.7 mdwt	3.7%
--------------	------------	------

Freight Rates

VLCC Middle East-Asia, USD/ton	67.93	439.3%
Suezmax West Africa-Europe, USD/ton	37.21	129.4%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

Disclaimer: This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only. This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Fund, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares. The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.

Please visit www.breakwaveadvisors.com/disclosures